

JAPANESE

Anatomy & Market Structure



DOJO GAINS

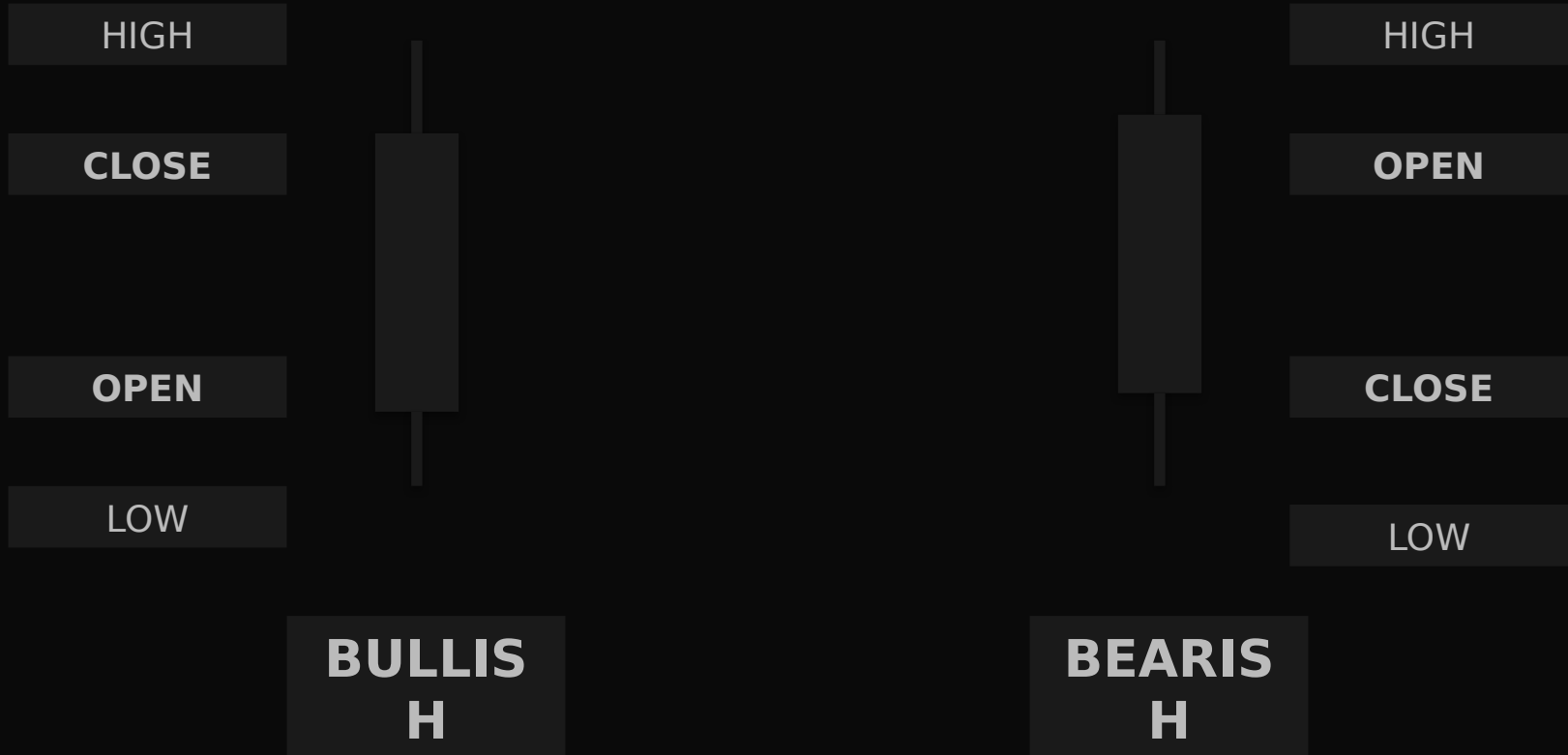
Master the Art of Trading

What Are Candlesticks?

- Originated in 18th century Japan by rice trader Munehisa Homma
- Each candle represents price action over a specific time period
- Shows FOUR key prices: Open, High, Low, Close (OHLC)
- More visual than line charts - tells the story of price
- The foundation of technical analysis and price action trading
- Used across all markets: stocks, options, crypto, futures

Candlesticks reveal market psychology in a single glance

Candlestick Anatomy



Upper Wick = Price reached higher but pulled back

Body = Open to Close range

Lower Wick = Price went lower but recovered

Bullish vs Bearish



BULLISH



BEARISH



Close > Open

Buyers won

Price moved UP

Close < Open

Sellers won

Price moved DOWN

The color tells you WHO WON - buyers or sellers

Candle Size = Momentum

SMALL

MEDIUM

LARGE



Indecision

Normal

Strong conviction

Low momentum

Steady movement

High momentum!

- Big green candle = Strong buying pressure
- Big red candle = Strong selling pressure
- Small candles = Market undecided

Reading the Wicks

- Wicks show REJECTION - price tried but got pushed back
- Long upper wick = Sellers rejected higher prices
- Long lower wick = Buyers rejected lower prices
- No wick = Strong conviction in that direction



Bearish Rejection



Bullish Rejection



Full Conviction

Single Candle Patterns

DOJI



Indecision

Reversal signal

HAMMER



Bullish reversal

At support

SHOOTING
STAR



Bearish reversal

At resistance

MARUBOZU



Full conviction

Strong trend

These patterns work best at key support/resistance levels

Multi-Candle Patterns

BULLISH ENGULFING



Green engulfs red

Bullish Reversal

BEARISH ENGULFING



Red engulfs green

Bearish Reversal

INSIDE BAR



2nd inside 1st range

Breakout Setup

These patterns show a SHIFT in control between buyers and sellers

Market Structure: Trends

- UPTREND: Higher Highs (HH) and Higher Lows (HL)
- DOWNTREND: Lower Highs (LH) and Lower Lows (LL)
- SIDEWAYS: Price bouncing between support and resistance
- Trade WITH the trend - it's your friend

UPTREND

HH > HL > HH > HL

DOWNTREND

LH > LL > LH > LL

SIDEWAYS

Range-bound

Support & Resistance

- **SUPPORT:** Level where buying pressure stops decline
- **RESISTANCE:** Level where selling pressure stops advance
- Think of them as ZONES, not exact lines
- The more times tested, the stronger the level
- When broken, support becomes resistance (flip)
- Candle patterns AT these levels = best setups

Candlestick patterns are most reliable at major S/R levels!

Timeframes Matter

- Each candle = one period of that timeframe
- 1-min chart: Each candle = 1 minute of price action
- Daily chart: Each candle = entire trading day
- Higher timeframes = more reliable (less noise)
- Always check higher TF for context

DAY TRADERS

1m - 5m - 15m

SWING TRADERS

1H - 4H - Daily

Putting It All Together

- 1. Identify the TREND
- 2. Mark key SUPPORT and RESISTANCE
- 3. Wait for price to reach a key level
- 4. Look for CANDLESTICK PATTERNS there
- 5. Confirm with candle SIZE and WICKS
- 6. Enter with the trend, manage risk

**Patience + Pattern + Level = High
Probability**

Key Takeaways

- Candlesticks = battle between buyers and sellers
- Body size = momentum | Wicks = rejection
- Green = bulls won | Red = bears won
- Key patterns: Doji, Hammer, Shooting Star, Engulfing
- Trade WITH the trend
- Patterns work best at S/R levels
- Higher timeframes = more reliable

Practice daily. Screen time builds intuition.

Your Next Steps

- Open TradingView and practice identifying patterns
- Mark support & resistance on your favorite tickers
- Start a trading journal - note what you see
- Paper trade before risking real money
- Join the Dojo Discord to discuss setups

dojogains.com

No hype. No gurus. Just growth.